

Stocks can keep selling at prices that are higher than their fundamental value as long as new suckers come along and put their money in. It certainly explains what happened to the Japanese stock market.

The investor should never have Law IV far from his mind.

LAW V: Every Bad Idea Starts from a Good Idea

We all know this from our own experience. We go to a party and have a glass of champagne. Good idea. We feel better, more relaxed. The party is now more interesting, the toasts more lively, the girls prettier, the dancing more fun. So we have a second glass of champagne. Another good idea. The jokes now have gone from humorous to hilarious, the people you're meeting are the most interesting and glamorous you've ever known, and the dancing is wild and you've never been better at it. But after the third glass, and the fourth . . . well, what started as a good idea turns into a very bad idea, with your head already beginning to pound from a headache you know will terminate in a humdinger of a hangover.

It happens all the time in the stock market. As I codify this law in mid-1996, technology stocks have been the rage for a long time, albeit with some periods of "consolidation." The boom started with a very good idea. American technology leads the world. Personal computers and the software to run them and other electronic and communications devices have become inexpensive and relatively easy to use, and we all buy them. Companies like Microsoft, Motorola, Intel are well-run—indeed, fabulous—companies. All this is correct. A great investment idea. The people who were in early have made a lot of money.

But as the party lengthens, the stocks get taken over by people who don't particularly understand what's happening; they are just playing a trend. And new companies are invented to meet their demands. The securities industry, you know, is not a service industry.